

Apex Retail Pvt Ltd

Annual Report 2025

Corporate Overview

Apex Retail Pvt Ltd is an omni-channel retail and e-commerce company focused on delivering affordable lifestyle, electronics, fashion, home improvement, and beauty products to customers across India. Established in 2018, the company has expanded rapidly through a combination of digital commerce capabilities, regional warehouse infrastructure, and a growing network of physical retail outlets. By the end of FY2025, Apex Retail operated twenty-seven stores across major urban markets while serving customers nationwide through its online platform and mobile application.

The company's business model is centered on convenience, competitive pricing, broad product assortment, and a seamless shopping experience across online and offline channels. Over the last two years, Apex Retail has also invested in technology systems for demand forecasting, customer personalization, inventory visibility, and logistics optimization.

FY2025 was a challenging but strategically important year for the company. Although revenue and profitability declined due to competitive pressure and operational inefficiencies, the organization made meaningful progress in digital adoption, customer data capabilities, and regional expansion readiness. Management believes these foundational investments position the company for stronger growth in FY2026 and beyond.

Chairman's Statement

Dear Shareholders,

The financial year 2025 tested the resilience and adaptability of the retail sector. Consumer spending behavior shifted significantly toward value-conscious purchases, competitors increased promotional intensity, and fulfillment expectations became more demanding than ever before. In this environment, Apex Retail recorded consolidated revenue of \$12.4 million, representing a decline of 8 percent compared with the previous year.

While this outcome was below our internal expectations, it does not fully reflect the strategic progress achieved during the year. Our South India operations delivered double-digit growth, mobile commerce adoption reached record levels, and several emerging product categories

such as beauty and fashion outperformed market trends. At the same time, the company identified clear areas requiring improvement, particularly customer retention, North region competitiveness, and supply chain responsiveness.

We remain committed to disciplined execution, customer-first innovation, and sustainable profitability. During FY2026, management will prioritize stronger repeat purchase economics, sharper regional execution, and a more efficient operating model.

On behalf of the Board, I thank our employees, customers, vendors, and shareholders for their continued trust.

Arjun Malhotra
Chairman & Chief Executive Officer

Management Discussion and Analysis

Economic and Industry Environment

The Indian retail market continued to expand in FY2025; however, growth was uneven across categories and geographies. Inflationary pressure on household budgets caused customers to become more selective, increasing sensitivity to pricing and promotional offers. Digital-first competitors intensified discount campaigns, particularly in electronics and daily-use categories.

Consumer expectations around speed of delivery, flexible returns, and personalized offers also rose sharply. Companies with strong logistics networks and advanced mobile commerce experiences gained disproportionate market share. These trends created both risks and opportunities for Apex Retail.

Business Performance Summary

During FY2025, Apex Retail generated total revenue of \$12.4 million compared with \$13.5 million in FY2024. Gross profit declined to \$3.9 million, while EBITDA fell to \$1.1 million. Net profit after tax was \$0.42 million.

The decline in revenue was primarily linked to lower sales in the North region, reduced repeat customer activity, stock shortages in electronics, and weaker conversion performance on the website. Margin pressure resulted from aggressive competitor pricing, increased logistics costs, and higher returns processing expenses.

Despite these headwinds, the company delivered positive momentum in several areas. Fashion and beauty categories expanded, South region operations outperformed expectations, and mobile app transactions increased substantially.

Financial Review

Revenue Performance

Revenue trends across quarters reflected a gradual slowdown through the year. Q1 remained stable due to carryover demand from prior campaigns. Q2 saw moderate weakness in electronics. Q3 and Q4 were impacted by stronger competitor promotions and fulfillment constraints during festive season peaks.

Quarterly revenue was as follows:

Q1: \$3.4 million

Q2: \$3.2 million

Q3: \$3.0 million

Q4: \$2.8 million

Gross Margin

Gross margin declined from 34 percent in FY2024 to 31 percent in FY2025. Key reasons included elevated discounting, product mix shifts toward lower-margin categories, and higher reverse logistics costs.

Operating Expenses

Operating expenses increased as a share of revenue despite reductions in certain discretionary budgets. Marketing spend was reduced by 22 percent; however, fixed warehousing, technology, and labor costs remained relatively stable, reducing leverage.

Profitability

EBITDA margin fell materially due to lower revenue productivity and compressed contribution margins. Management expects margin recovery through better inventory planning, selective pricing discipline, and higher repeat purchase share.

Regional Business Review

North India

North India was the weakest-performing region, with sales declining 18 percent year-over-year. Major causes included competitor discount campaigns in Delhi NCR and surrounding cities, delayed deliveries during peak demand windows, and weaker conversion from digital ad campaigns.

Several physical stores in premium mall locations also saw reduced footfall compared with the prior year.

South India

South India grew 11 percent and became the strongest-performing geography. Bengaluru, Hyderabad, and Chennai recorded healthy order growth driven by stronger digital adoption and faster last-mile fulfillment. Fashion and beauty categories performed especially well.

West India

West India declined 4 percent, reflecting moderate pressure in electronics and accessories. However, Mumbai metro stores remained stable due to higher offline demand.

East India

East India grew 2 percent with encouraging traction in smaller cities where value-focused assortments performed well.

Product Portfolio Review

Electronics

Electronics revenue declined 14 percent. Supply shortages in key SKUs, aggressive online discounting, and extended replenishment cycles reduced category momentum.

Fashion

Fashion revenue increased 6 percent and emerged as a strategic growth driver. Festive collections, influencer-led campaigns, and regional merchandising contributed to stronger sell-through.

Home Decor

Home decor grew 3 percent, supported by urban household demand and higher basket attachment rates.

Accessories

Accessories declined 9 percent due to lower impulse purchases and weaker cross-sell conversion.

Beauty and Personal Care

Beauty grew 8 percent and demonstrated attractive repeat purchase economics. Subscription bundles and app-based promotions performed well.

Customer and Digital Metrics

Customer behavior changed meaningfully during FY2025. Repeat customer contribution fell from 41 percent to 33 percent, impacting profitability because retained customers typically purchase more frequently at lower acquisition cost.

Customer acquisition cost increased from \$9.8 to \$11.6 as digital advertising became more competitive. Website conversion declined from 3.2 percent to 2.4 percent, partly due to slower checkout experiences and rising delivery-time sensitivity.

At the same time, mobile commerce remained a bright spot. Orders placed through the mobile app increased from 49 percent of total transactions to 63 percent, indicating strong user preference for app-led shopping journeys.

Management believes improving lifecycle engagement, CRM automation, and personalized offers will materially strengthen retention metrics.

Operations and Supply Chain

The company operated three primary warehouses and multiple regional fulfillment points during FY2025. On-time delivery performance averaged 87 percent, below the internal target of 93 percent. Average delivery time was 3.9 days.

Operational pain points included inventory inaccuracies in electronics, courier delays during peak periods, and rising reverse logistics cost caused by higher returns.

In response, Apex Retail initiated warehouse process redesigns, upgraded forecasting systems, and negotiated new contracts with logistics partners. Two regional sortation hubs were approved for implementation in FY2026.

Marketing and Brand Performance

The company reduced total marketing spend by 22 percent in an effort to protect profitability. While this supported short-term cost discipline, it also weakened brand visibility in highly competitive markets.

Paid search campaigns produced lower returns in the North region, while influencer campaigns generated strong outcomes for fashion launches. CRM and loyalty reactivation campaigns remained underutilized relative to potential.

Management has approved a more performance-driven marketing model for FY2026 focused on measurable ROI, retention-led campaigns, and improved attribution systems.

Risk Management

The company continually monitors strategic, financial, and operational risks.

Major risks include aggressive competitor discounting, rising customer acquisition costs, supplier concentration in select categories, logistics disruptions, technology outages, and macroeconomic softness affecting discretionary spending.

Mitigation measures include multi-vendor sourcing, regional warehouse diversification, stronger pricing analytics, cybersecurity controls, and tighter working capital management.

Strategy for FY2026

Management has identified four priorities for the coming year.

First, restore growth in North India through sharper pricing, localized campaigns, and service-level improvements.

Second, improve profitability through better inventory productivity, lower returns, and stronger vendor negotiations.

Third, scale digital growth through mobile-first commerce, personalization engines, and loyalty membership programs.

Fourth, expand selectively in high-potential South India markets through new stores and faster delivery coverage.

Human Capital and Culture

Apex Retail employed 486 team members at the close of FY2025. Employee training focused on digital tools, store productivity, customer service, and data-led decision making.

The company believes long-term performance depends on empowered teams, clear accountability, and continuous learning.

Outlook

Although FY2025 was financially challenging, the business exits the year with clearer strategic priorities, stronger internal systems, and multiple growth opportunities. Management expects FY2026 to deliver improved sales momentum, stronger customer retention, and gradual margin expansion.

Apex Retail remains committed to building a modern, trusted, and profitable retail platform for the Indian consumer.